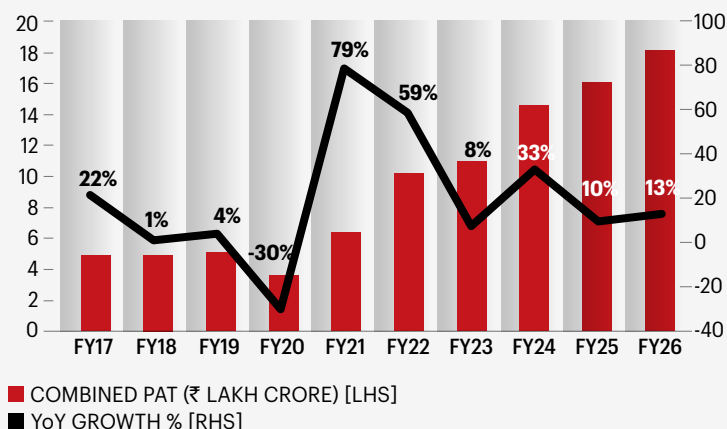


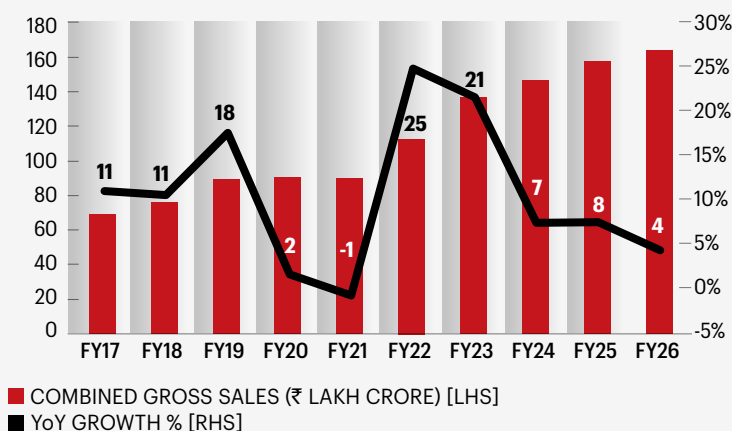
PAT GROWTH RECOVERS, REVENUE MODERATES

The PAT growth of the 451 Nifty 500 companies in the BT sample rose in FY26 after a deceleration FY25

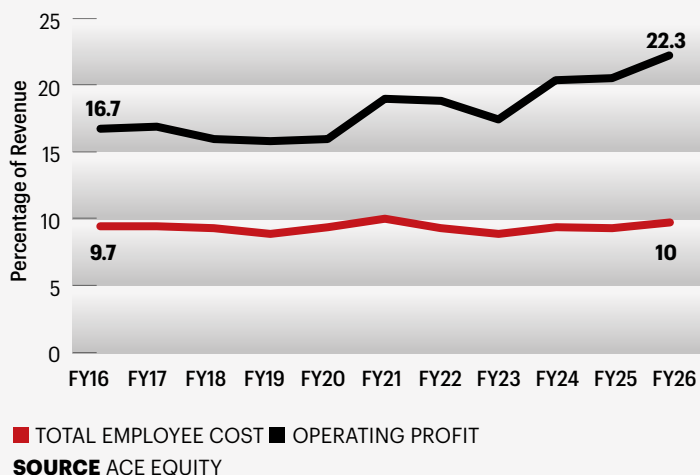
COMBINED PAT OF NIFTY 500 COMPANIES



COMBINED GROSS SALES OF NIFTY 500 COMPANIES



OPERATING PROFIT RISES; STAFF COSTS REMAIN STABLE



SOURCE ACE EQUITY

transformation in scale and profitability. An analysis of 451 companies from the Nifty 500 index that have reported financial data continually for the past 10 years shows their combined revenue increased from ₹61.7 lakh crore in FY16 to an estimated ₹164.2 lakh crore in FY26.

While the growth trajectory was disrupted by the pandemic, recovery was swift and broad-based. Revenue expanded sharply by 25% in FY22 and 21% in FY23 as economic activity normalised and demand recovered. Aggregate net profit of Nifty 500 companies rose more than fourfold in FY26 from ₹4 lakh crore in FY16.

As businesses expanded, their total expenditure increased from ₹52.8 lakh crore to ₹136.5 lakh crore over the same period. Employee costs rose from ₹6 lakh crore to ₹16.5 lakh crore. The rise in these highlights the growing scale of operations, capacity expansion, workforce additions and higher investments in business growth. Despite these higher costs, companies were able to generate profits at a faster pace.

A key driver of this trend has been a sharp improvement in operating profitability, which jumped 256% between FY16 and FY26. This indicates that companies improved productivity, benefited from operating efficiencies and achieved better cost management as revenue expanded.

Another important factor has been the relatively slower growth in financing costs. While interest expenses increased 164% in the decade, their growth rate remained well below the rise in operating profit.

As a result, the gap between operating earnings and interest obligations widened, strengthening interest coverage ratios and reducing financial stress across corporate balance sheets.

The improvement in profitability is also evident in the sharp rise in taxes paid. Tax expenditure increased from ₹1.5 lakh crore in FY16 to ₹5.2 lakh crore in FY26, an increase of 243%. Higher tax